multilateral and rule-based regime to reduce emissions, the emission pledges on the table by the developed countries lacked ambition. Now the Fifth Assessment Report of the Inter-governmental Panel on Climate Change (IPCC) is in the final stages of completion. With rising extreme events, and rising citizen demand, the world has little option but to listen to the voice of evolving science and respond adequately with strategies and policy rooted in the principles of multilateralism with equitable and fair burden sharing.[1]

The *Economic Survey 2011-12,* for the first time, introduced a new chapter the 'Sustainable Development and Climate Change'. These topics remained headline news with extreme weather events both at home and abroad. Efforts to arrive at a consensus on what to do at home and abroad gathered momentum, even as they sailed through some rough waters and fickle seas in many respects. In 2012, science and nature voiced a sense of urgency for action. Yet the relevant statistics have a mixed story to tell. It strongly accepts science but weakly reflects on the corresponding multilateral actions, suggesting that a lot remains to be done on the latter. Till the world stops to introspects and accepts that we are a product of the ecological surrounding we are living in, there seems no durable outcome from the international deliberations.

Climate Change at a Glance

Since the industrial revolution, manmade activities have added significant quantities of greenhouse gases (GHG)[2] into the atmosphere. Climate change is a global negative externality primarily caused by the building up of GHG emissions in the atmosphere. The efforts needed to address the climate change include mitigation of GHG emissions on the one hand, and building of adaptive capacities to cope with the adverse impacts of climate change on the other. From a developing country perspective, adaptation is of utmost importance as they are the ones who are most vulnerable to the adverse impacts of climate change.

The incremental impact of a ton of GHG on climate change is independent of where in the world it is emitted. These emissions impose a cost on both the present and future generations, which are not fully